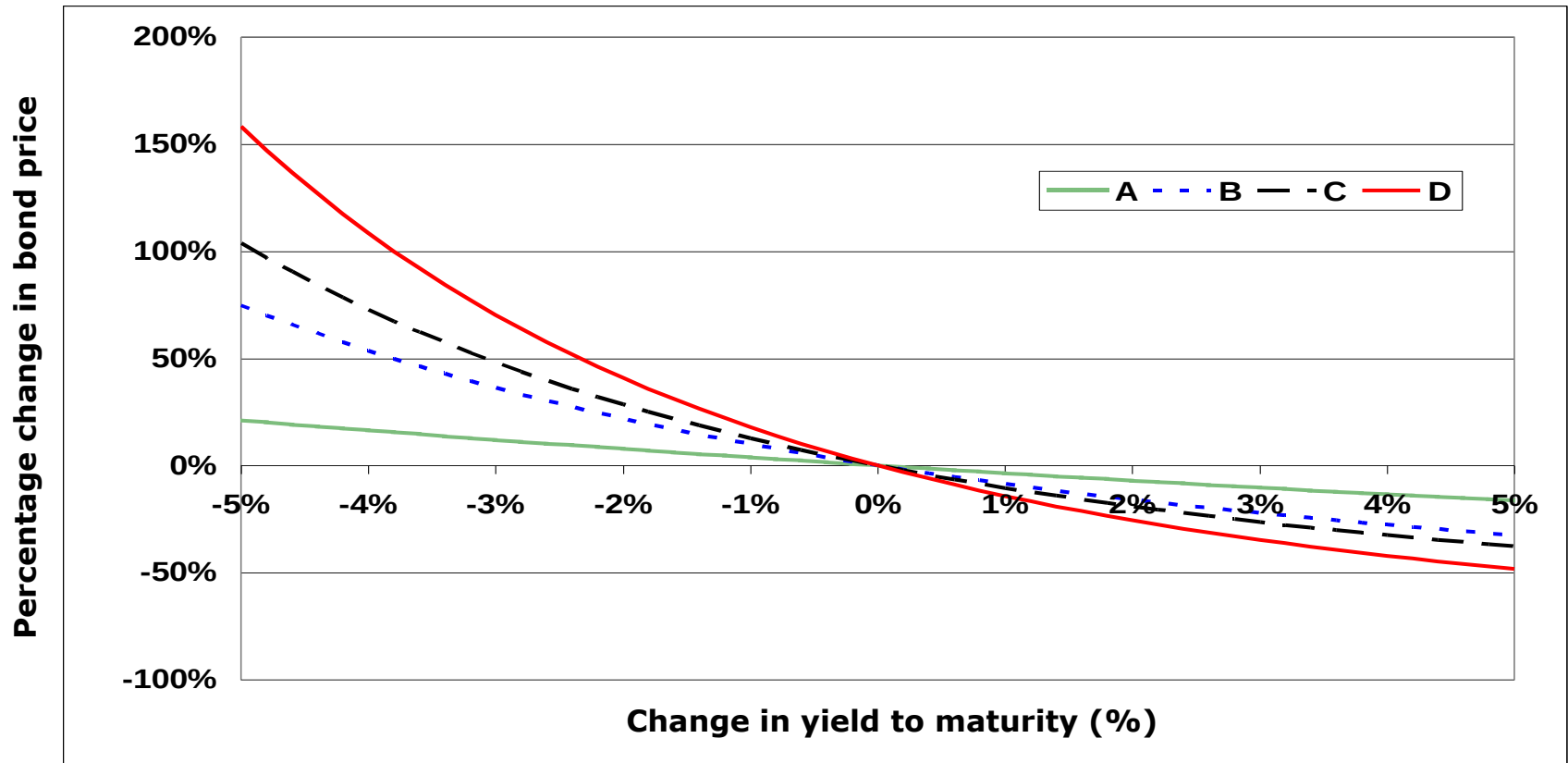


Interest rate sensitivity

	k	T	YTM
A	12%	5	10%
B	12%	30	10%
C	3%	30	10%
D	3%	30	6%



Interest rate sensitivity

- **Bond prices and yields are inversely related: as yields increase, bond prices fall; as yields fall, bond prices rise.**
- **An increase in a bond's yield to maturity results in a smaller price change than a decrease in yield of equal magnitude.**
- **Prices of long-term bonds tend to be more sensitive to interest rate changes than prices of short-term bonds.**
- **The sensitivity of bond prices to changes in yields increases at a decreasing rate as maturity increases. In other words, interest rate risk is less than proportional to bond maturity.**
- Interest rate risk is inversely related to the bond's coupon rate. Prices of low-coupon bonds are more sensitive to changes in interest rates than prices of high-coupon bonds.
- The sensitivity of a bond's price to a change in its yield is inversely related to the yield to maturity at which the bond currently is selling.